

CUSTOMER CHURN DIAGNOSIS: KEY FINDINGS & RECOMMENDATIONS

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EXECUTIVE SUMMARY

Our subscription base of 7,043 customers has a 26.5% churn rate, translating to \$1.67M in annualized revenue lost. Using SQL analysis (15 business queries), K-Means clustering, and a weighted Customer Health Score model, I identified 4 distinct churn archetypes and a risk-scoring system that flags High-Risk customers at 7.2× the churn rate of Low-Risk ones (43% vs. 6%).

3 KEY FINDINGS

1. **THE LEAKY BUCKET:** 51.4% of customers on Month-to-Month contracts in the 0-12 month tenure window churn — the worst segment in the entire base. This single group (1,994 customers, 1,024 churned) accounts for \$819,617 in annual revenue lost. Getting even 20% of them onto annual contracts would recover ~\$164K/year.
2. **THE HIDDEN LEVER:** TechSupport cuts senior citizen churn by 31 percentage points — from 50.6% (without support) to 19.6% (with support). Of 1,142 senior customers, 830 currently have no TechSupport. A targeted free-trial program for this group could retain ~257 customers and protect ~\$246,452/year in revenue.
3. **FRUSTRATED LOYALISTS EXIST:** Cluster "Frustrated Loyalists" — 2,849 customers with an average tenure of 13.4 months, paying \$59.39/month — is churning at 39.6%. These are not first-week impulse cancellations. They stayed long enough to form an opinion, then left. 100% of this segment is in the Red or Yellow risk tier — a win-back and contract-conversion campaign here targets \$803,223 in annual revenue loss.

CHURN SEGMENT SUMMARY

Segment	Size	Churn Rate	Avg Revenue	Recommended Action
Frustrated Loyalists	2,849	39.6%	\$59.39/mo	Win-back + contract conversion campaign
New & At-Risk Customers	965	48.1%	\$78.91/mo	Onboarding intervention + TechSupport
Moderate-Risk Segment	2,120	11.7%	\$86.62/mo	Loyalty rewards + upsell to higher bundle
High-Value Loyal Customers	1,109	2.8%	\$24.46/mo	Standard management + upsell targeting

Annual Revenue at Risk by Segment: Frustrated Loyalists: \$803,223 New & At-Risk Customers: \$439,378 Moderate-Risk Segment: \$256,738 High-Value Loyal Customers: \$9,099

TOP RECOMMENDATION

Implement a tiered intervention strategy based on the Customer Health Score (0-100 scale, validated at 7.2x churn separation):

- **RED (3,493 customers | 43% churn rate):** Personal CS call within 30 days + annual contract incentive. Priority sub-groups: New & At-Risk (58.8% churn in Red tier) and Frustrated Loyalists (42.2% churn in Red tier).
- **YELLOW (2,124 customers | 14% churn rate):** Automated email nurture sequence + service upgrade offer. Focus: bundle-depth upsell (customers with 6+ services churn at only 16.6% vs. 31.2% for 3-5 services).
- **GREEN (1,426 customers | 6% churn rate):** Standard account management + upsell targeting. These customers have proven commitment; protect with loyalty recognition and referral incentives.

PROJECTED IMPACT

If we intervene on 3,493 Red-tier customers at \$50/customer:

- Total investment: \$174,650
- At 15% save rate: 524 customers retained
- Avg revenue per customer: \$60.78/month
- Revenue protected: \$382,126/year
- ROI: 2.2x in Year 1

Additionally, TechSupport free trial for 830 unprotected seniors:

- Est. 257 customers saved
- Revenue protected: \$246,452/year
- Combined total recovery: ~\$628,578/year against \$174,650 spend

NEXT STEPS

1. Deploy Health Score to CRM — flag all 3,493 Red customers immediately for CS outreach prioritization.
2. Launch M2M to Annual contract conversion campaign targeting 1,994 customers in the 0-12 month tenure band (51.4% churn risk). Even a 10% conversion rate adds \$164K in locked ARR.
3. Pilot the Senior TechSupport free-trial program (60-day window) for the 830 senior customers currently without TechSupport. At 31 pp churn reduction, this is the highest-leverage lever per dollar spent.

Data: Telco Customer Churn (Kaggle, 7,043 rows)

Tools:

- SQLite (15 queries),
- Python K-Means k=4 (silhouette=0.30),
- Customer Health Score — weighted composite: tenure 25%, contract 25%, service depth 20%, payment method 15%, tech support 15%